10. Income Taxes

On August 31, 2009 Vistaprint N.V., a Dutch limited liability company, became the parent company of the Vistaprint group of companies. The Dutch Revenue Authority granted the Company an Advanced Tax Ruling, which enabled the Company to conclude that the reincorporation to the Netherlands would not have an adverse impact to its effective tax rate. Vistaprint Limited, the former parent company and current subsidiary of Vistaprint N.V., is a Bermuda based company. The Company has entered into and operates pursuant to transfer pricing agreements that establish the transfer prices for transactions between Vistaprint Limited and the Company's subsidiaries in Canada, France, the Netherlands, Jamaica, Spain, Switzerland, Tunisia, Germany, Australia, Japan and the United States. The determination of appropriate transfer prices requires the Company to apply judgment. The Company believes that its transfer pricing is in accordance with advanced tax rulings and applicable statutory regulations.

The components of the provision (benefit) for income taxes are as follows:

	Year Ended June 30,		
	2010	2009	2008
Current:			
U.S. Federal	$ 5,607	$ 4,766	$ 4,544
U.S. State	1,366	2,234	781
Non-U.S.	2,530	3,062	965
Total current	9,503	10,062	6,290
Deferred:			
U.S. Federal	(1,797)	(2,344)	(2,099)
U.S. State	(289)	(1,289)	(688)
Non-U.S.	(144)	(1,012)	758
	(2,230)	(4,645)	(2,029)
Total	$ 7,273	$ 5,417	$ 4,261

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The following is a reconciliation of the standard U.S. statutory tax rate and the Company's effective tax rate:

	Year Ended June 30,		
	2010	2009	2008
U.S. federal statutory income tax rate	34.0%	34.0%	34.0%
State taxes, net of federal effect	1.0%	1.0%	0.3%
Foreign rate differential	(26.0)%	(25.8)%	(23.9)%
Increase in valuation allowance	1.3%	0.0%	0.0%
Other	(0.6)%	(0.3)%	(0.7)%
Effective income tax rate	9.7%	8.9%	9.7%

The following is a summary of the Company's income before taxes by geography:

	Year Ended June 30,		
	2010	2009	2008
U.S.	$ 10,250	$ 9,402	$ 8,068
Non-U.S.	64,764	51,701	36,024
Total	$ 75,014	$ 61,103	$ 44,092

Significant components of the Company's deferred income tax assets and liabilities consist of the following at June 30, 2010 and 2009:

	Year Ended June 30,	
	2010	2009
Deferred tax assets:		
Net operating loss carryforwards	$ 3,312	$ 887
Depreciation and amortization	761	316
Accrued expenses	1,245	624
Shared-based compensation	5,923	6,259
Corporate minimum tax	167	378
R&D credit carryforwards	330	657
Subtotal	11,738	9,121
Valuation allowance	(944)	—
Total deferred tax assets	10,794	9,121
Deferred tax liabilities:		
Depreciation and amortization	(5,401)	(3,099)
Other	(22)	—
Total deferred tax liabilities	(5,423)	(3,099)
Net deferred tax assets	$ 5,371	$ 6,022

The current portion of the net deferred taxes at June 30, 2010 and 2009 was an asset of $1,245 and $624, respectively, which is included in prepaid expenses and other current assets in the accompanying consolidated balance sheets.

In assessing the realizability of deferred tax assets, the Company considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. No valuation allowance has been recorded against the $5,923 deferred tax asset associated with share-based compensation charges at June 30, 2010. However, in the future, if the underlying awards expire, are

released or exercised with an intrinsic value less than the fair value of the awards on the date of grant, some or all of the benefit may not be realizable. The Company has recorded a valuation allowance of $944 during the year associated with certain foreign net operating losses for which management has determined it is more likely than not that the carryforward will not be utilized in the foreseeable future. Based on the weight of available evidence at June 30, 2010, management believes that it is more likely than not that all other net deferred tax assets will be realized. The Company will continue to assess the realization of the deferred tax assets based on operating results.

As of June 30, 2010, the Company had U.S. federal and state net operating loss carryforwards of approximately $1,946 that expire on dates up to and through the year 2029. The utilization of federal net operating losses is partially subject to annual limitation under the change in share ownership rules of Internal Revenue Code Section 382. The Company had foreign net operating loss carryforwards of approximately $8,127 that expire on dates up to and through 2028 and $2,457 that will never expire. The benefits of these carryforwards are dependent upon the generation of taxable income in the jurisdictions where they arose. In addition, the Company has approximately $747 of federal net operating loss, $8,634 of state net operating loss and $1,594 of federal R&D tax credit carryforwards as a result of excess tax deductions related to stock-based compensation. The Company will realize the benefit of these excess tax deductions through increases to shareholders' equity in the periods in which these carryforward losses are utilized to reduce tax payments.

The Company has corporate minimum tax credit carryforwards and research and development tax credits in Canada of approximately $167 and $330, respectively that expire at various dates through 2030.

Undistributed earnings of the Company's subsidiaries are considered to be indefinitely reinvested. Upon repatriation of those earnings, in the form of dividends or otherwise, the Company would be subject to withholding taxes payable. Determination of the amount of unrecognized tax liability associated with withholding taxes is not practicable due to the complexities associated with this hypothetical calculation.

As of the years ended June 30, 2010 and 2009, the amount of unrecognized tax benefits that, if recognized, would affect the effective tax rate is $2,085 and $1,372, respectively. The Company recognizes interest and, if applicable, penalties related to unrecognized tax benefits in income tax expense. The accrued interest and penalties for the years ended June 30, 2010 and 2009 were $242 and $75, respectively.

A reconciliation of the gross beginning and ending amount of unrecognized tax benefits is as follows:

Balance at June 30, 2008	$ 850
Additions based on tax positions related to the current tax year	363
Additions based on tax positions related to prior tax years	264
Balance at June 30, 2009	$ 1,477
Additions based on tax positions related to the current tax year	290
Additions based on tax positions related to prior tax years	585
Statute of limitation expirations	(21)
Balance at June 30, 2010	$ 2,331

The Company's U.S. subsidiary is under audit by the Internal Revenue Service and the Commonwealth of Massachusetts. Also, the Canada Revenue Agency is auditing one of the Company's Canadian subsidiaries. In addition, certain statutes of limitations are scheduled to expire in the near future. It is reasonably possible that a further change in the unrecognized tax benefits may occur within the next twelve months as a result of the settlement of one or more of these audits or the

lapse of applicable statutes of limitations. However, an estimated range of the impact on the unrecognized tax benefits cannot be quantified at this time.

The Company is required to file income tax returns in the U.S. federal jurisdiction, the state of Massachusetts and multiple jurisdictions outside of the U.S. The Company's U.S. federal tax returns for 2007 and subsequent years and the state tax returns for 2005 and subsequent years remain open to examination by the tax authorities. Generally, the years 2004 through 2009 remain open for examination by the tax authorities in the non-U.S. tax jurisdictions in which the Company operates.